

Chief General Manager
Market Regulation Department-Division of Policy
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MRD/ DoP/SE/Cir- 03 /2009
February 20, 2009

The Managing Director and CEO
Bombay Stock Exchange
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai 400001

The Managing Director
National Stock Exchange of India Ltd.,
Exchange Plaza
Bandra Kurla Complex
Bandra (E)
Mumbai- 400 051

Dear Sir,

Sub: Direct Market Access - Clarification

1. This is further to the SEBI circular no. MRD/ DoP/SE/Cir- 7 /2008 dated April 03, 2008 regarding introduction of facility for Direct Market Access.
2. With regard to para 3 of the aforesaid circular, it is clarified as follows:
 - a. Institutional investors may use DMA facility through investment managers after due authorization and upon furnishing to the broker/ exchange suitable agreements/ undertakings between the institution and investment manager stating, inter alia, that the institutional investor shall be responsible for all actions undertaken by its authorized investment manager. Such investment managers may execute necessary documents on behalf of the institutional investor.
 - b. The Broker-Client Agreement shall provide complete details of such investment manager, including, inter alia, details of their registration/ regulation in their relevant jurisdiction, specify the role and responsibilities of the investment manager, and contain adequate safeguards to ensure that DMA facility is utilized to execute trades of only those institutions for which the investment manager is authorized.
 - c. The exchange/ broker shall ensure that proper audit trails are available to establish identity of the ultimate client.
 - d. The exchange may put in place such other safeguards as it deems fit to mitigate any concerns it may have.

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3. This circular is issued in exercise of powers conferred under Section 11 of the Securities and Exchange Board of India Act, 1992 to protect the interests of investors in securities and to promote the development of, and to regulate the securities market.

Yours faithfully,

S V Murali Dhar Rao